

In most cases, instead of paying coinsurance you make a **co-payment**, which is a fixed sum of money that's usually less than \$25. For example, you might have to pay \$20 per doctor's office visit or \$15 for a prescription drug refill—always, even after you've already met the deductible. (Sometimes you'll have to make a co-payment and pay coinsurance, as well as meet a deductible!)

But many policies have a ceiling (usually \$2,000 to \$4,000) on the total amount you will have to shell out in any given year. This is called the **out-of-pocket limit**. If your medical bills get truly enormous, you have the comfort of knowing that the insurance company will pay for everything beyond the out-of-pocket limit. However, many insurers have another limit that protects *them*. It's a **maximum lifetime benefit**, which is the total amount they're obligated to pay over the life of your policy. This tends to be \$1 million or higher, an amount that will likely be enough to take care of your needs even if you get seriously ill.

The Basic Types of Health Insurance

There are so many different health insurance plans out there, truly understanding your own plan will take some effort. The truth is, even if two medical plans have the same deductible, co-payment structure, coinsurance rate, and benefit limits, they may be different. Some exclude certain costs while accepting others, are stricter about allowing you to see a specialist, or simply have a different list of participating doctors. The details of your company's health insurance options will probably vary somewhat from what I'm going to lay out here, but you can use these descriptions to decode anything in your own plan and make an informed choice if your company offers multiple options.

By far the most common health insurance offering these days is known as **managed care**, which gives you a list of doctors called a **network**. If you stick with doctors in your network, your costs will be much lower than if you use doctors outside the network. No matter what, know how the process works so you can get properly reimbursed for all out-of-pocket costs the insurance company should cover.

There are three main types of managed care programs. The most restrictive is the **health maintenance organization (HMO)**. In an HMO you usually have to get permission from your primary doctor—your